



A FRAMEWORK FOR BUSINESS PROCESS MANAGEMENT

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ABSTRACT

A framework for business process management facilitates the implementation, management and improvement of process-based organisations. In order to do so, organisations require new capabilities such as change roadmaps, knowledge management and balanced performance measures. © 1998 Elsevier Science Ltd. All rights reserved.

KEYWORDS

Business process, business architecture, business process reengineering, balance scorecard, process-based organisation, business process management.

INTRODUCTION

A wide variety of management and engineering techniques are currently used as mechanisms to improve organisations. This includes techniques such as business process reengineering, process improvement, activity-based management, enterprise engineering, business architectures, knowledge management, learning organisations, change management, etc. However, the common element, which can be found in most of these techniques is the *business process* [1]. Although business processes are simply defined as a series of interrelated activities linked together to produce customer value, they form the integrative component of the organisation. As such, business processes need to be viewed in a holistic manner, having relationships with all organisational elements such as jobs, competencies, measures, policies, etc.

This paper introduces the concept of *business process management* as a holistic engineered description to be used as a framework to manage and improve business processes in organisations. To present this framework, the business architecture view of organisations, components of business process management, the business process management lifecycle, as well as the reasons for shifting from a functional-oriented organisation to a process-based organisation is discussed.

MOTIVATION FOR BUSINESS PROCESS MANAGEMENT

The business process management framework ties all elements of an organisation together to ensure a true process-based organisation. The imperative for this as Hammer [1] states it, is “*the customer cares nothing for our management structure, our strategic plans, or our financial structures, he (the customer), cares about one thing, and one thing alone, results - the value we deliver to him*”. The paradigm shift required to achieve this is to move from current functional oriented management practices towards practices which focus on customer value delivering business processes. In order to achieve this the focus should not only be on business processes, but also on the appropriate process-based organisation structure and culture with the required support infrastructure. For any organisation to accomplish this different skills, knowledge, attitudes, resources and cultures are required, namely:

- *Skills* to formally introduce and manage change in the organisation.
- *Knowledge* to create the capability for relating and understanding how organisation components fit together and how they are effected by change.
- *Attitude* to recognise and focus on the needs and wants of internal and external customers.
- *Resources* to allow the measurement of organisational performance in a balanced manner.
- *Culture* whereby innovation is created through learning and for which people are rewarded and recognised.

BUSINESS ARCHITECTURE VIEW OF THE ORGANISATION

To understand business process management one needs to have a mental model of an organisation. A useful approach to the creation of this model is to view the organisation from four viewpoints, the *people view*, the *process view*, the *resource view* and the *customer view*. The people view would typically include grouped components such as organisation structures, culture, roles, responsibilities, accountabilities, competencies, jobs and communication. The process view includes the way we plan, control and change business processes while the resource view focuses on resources used in the organisation, how they integrate into business processes, and what their respective performance and utilisation levels are. The final view, the customer view deals with the needs and wants of customer segments, service characteristics and design as well as customer feedback.

A critical success factor for implementing and sustaining a business process management culture is the ability to understand change and its effect across all dimensions of the organisation (the people, resources, processes and customers). For the organisation to do so requires achieving three fundamental goals, firstly that all employees have the ability to communicate in the same business language, secondly that everyone approach change from the same extended enterprise perspective, and thirdly that the change process is constantly and consistently repeatable throughout the organisation. One of the mechanisms used by organisations to achieve this is through a business architecture.

COMPONENTS OF BUSINESS PROCESS MANAGEMENT

To move a functionally-based organisation towards a process-based organisation does not only require an understanding of organisational components and how they relate to each other, but also the way in which they should be managed. The management of a process-based organisation can be subdivided into the following components, *Customer Management, Planning and Control, Resource Management, Change Process, Learning and Knowledge Management, People, and Performance Management*. Many of these are familiar to functional organisations, but *Learning and Knowledge Management* and the *Change Process* as formal components are new. To achieve the level of a process-based organisation, each of the business process management components needs to achieve its goals and objectives (for a summary of please refer to Table 1).

Table 1 Business Process Components

COMPONENT	GOAL	OBJECTIVES
Customer Management	Integrate and focus value delivery on the customer	Identify needs/wants Develop product/service profile Obtain constant customer satisfaction feedback
Planning	Plan value and the delivery of value thereof to the customer	Establish goals (policies) Define capabilities Develop product/service features
Control	Establish measures for operational performance	Define standards Define measurements
Resource Management	Manage operational activities of the organisation	Obtain performance levels Measure deviations
Knowledge Management	Grow organisation knowledge	Create knowledge In-source plans, controls and solutions
Change Process	Change the organisation in order to meet customer requirements	Develop solutions through innovation Re-establish control Support managing the "resistance to change"
Learning	Convert knowledge into innovation	Create innovation
People	Enable people in a changing environment	Establish structure Establish the culture Establish reward & recognition
Performance Management	Evaluate performance of the organisation	Reward & recognise people Collate relevant performance levels

All in all, business process management aims to align the employees of the organisation to the customer, producing customer value through its business processes and associated resources. Within this, performance management and knowledge management is used as key drivers to improve value delivery to the customers of the organisation.

THE BUSINESS PROCESS MANAGEMENT LIFECYCLE

The business process management lifecycle is a closed loop, which starts with the customer and ends with the customer. With the identification of customer needs and wants as a first step, the next logical step is to *plan* which goals the organisation needs to achieve, what capabilities to put in place, and what product or service needs to be offered to the customer. Following the planning phase *control* is established in the lifecycle by creating standards and measurements for the designated capabilities (process, resource, and people). *Resource*

management is the activity of tracking the performance of all operational resources, resulting in performance levels and performance deviations from standards. Supporting these elements is *knowledge management*, which feeds the *learning* activities of the organisation and in turn enables the creation of *innovation*. From innovation *change* will be initiated, producing new solutions which feed back to the planning activity. The final loop in the cycle is *performance management* which takes the different organisational outputs into account in a balanced manner. Rewards and recognition from this activity directly impacts employees and the way they operate within the organisation, as well as towards external customers.

FUNDAMENTALS OF BUSINESS PROCESS MANAGEMENT

Different management practices are required for the successful implementation of business process management as opposed to what is currently being used. From the *process view*, a formal design methodology, specification and integration architecture for business processes are required. This includes the integration of metrics, standards and performance levels into a balanced scorecard to manage performance on an organisational wide basis. From the *people view*, the fundamental principles is to move the human resource function from an administrative role into an organisational development role, focusing on equipping people with the ability to cope with change, create change, and implementing results from change. Within this, the organisation structure, culture, roles and responsibilities should be able to support this. Finally, a formal roadmap for change needs to exist within the organisation, assisting the organisation to implement change, whether it is transformational or continuous improvement change.

CONCLUSION

This business process management framework requires new and daunting capabilities from implementers. *Daunting* as implementation requires integration of all organisational components, and *new*, as knowledge management, change frameworks and balance scorecards are used. This is a worthwhile goal to pursue, as the pace of change puts renewed pressure on organisations to change their modus operandi. This means a move towards the creation of the appropriate infrastructure, culture and business processes to enable change as part of the every day life of the organisation. The business process management lifecycle and its components as described are not a simple linear equation, but a more complex, non-linear fuzzy equation. This is not to say that organisations cannot understand how they internally function and what these relationships between organisational components are - discovery of it will eventually lead to better understanding and management of organisation dynamics.

REFERENCES

1. Hammer, M (1996). Beyond Reengineering. Harper Collines Business